Data Integrity Practice Question - Veg (30 marks)

It is August 20X3 and you are the audit senior working on the audit of Vegetable & Fruit Distributors Limited ('Veg') for the year ended 30 June 20X3. Veg is an established organic fresh food distributor to wholesale customers in the UK and France. Veg's functional and reporting currency is Sterling (£). Sales to customers in France are denominated in Euro (€).

During the planning phase, your audit partner concluded that the control environment did not support a controls-based audit approach. You are therefore intending to use substantive analytical procedures to gain assurance over the trade receivables balance at the year end.

Veg have provided you with a trade receivables ageing listing (Appendix 1) as at 30 June 20X3. The listing shows the outstanding balances from the five customers in their invoiced currencies. The receivables ledger control account shows a balance of £1,778,533. The general ledger is interfaced with this control account monthly once the accounts receivable sub-ledger is closed. This is normally on the last working day of the month. Once the sub-ledger is closed, the financial accountant initiates a month end translation process where Euro denominated balances are translated at the closing exchange rate.

You have been provided with further information (Appendix 2) which includes:

1. Open invoice listing for Pumpkin Distributors as at 30 June 20X3
2. Veg bank reconciliation as at 30 June 20X3
3. Email correspondence with Potato Traders
4. Potato Traders delivery note
5. Glasgow Veggies trade receivables' circularisation response
6. Closing exchange rates at 30 June 20X3

Required:

Perform procedures to confirm the accuracy, validity and completeness of the information provided for the planned substantive analytical review of trade receivables. Document and evaluate the results of your procedures including any issues identified with the data.

Form an overall conclusion as to whether the data is appropriate for use by the audit team. You do not need to identify any further evidence or work that would be performed.

(30 marks)

APPENDIX 1 – Trade receivables ageing report summary as at 30 June 20X3

Account ID	Customer name	Total (£)	Total (invoicing currency)	0 - 30 days	31 - 60 days	61 - 90 days	> 91 days
P1001	Pumpkin Distributors	£493,480	542,828€	113,332€	104,060€	226,313€	99,123€
P1002	Potato Traders	£437,336	481,070€	-€	209,072€	132,981€	139,017€
F1003	Fresh Farm Produce	£-	-€	(344,821)€	212,384€	132,437€	-€
S1005	Silky Smoothies	£502,755	£502,755	£133,595	£150,322	£105,955	£112,883
P1001#	Error Unknown Acc	£(90,112)	(99,123)€				(99,123)€
G1001	Glasgow Veggies	£471,624	£471,624	£113,088	£127,919	£121,334	£109,283
	Total	**£1,815,083**					

APPENDIX 1 – Screenshots and documentation provided by Veg

ACC P1001 Open invoice listing at 30 June 20X3

Invoice #	Description	Date	Amount EUR
1200988	15 Tonnes - Pumpkins	20 May X3	113,332
1200965	13 Tonnes - Pumpkins	15 May X3	104,060
1200950	22 Tonnes - Pumpkins	16 Apr X3	141,411
1200944	8 Tonnes - Pumpkins	04 Apr X3	84,902
	Total open invoices		**443,705**

Bank reconciliation as at 30 June 20X3	
Balance per bank statement as at 30 June 20X3	£3,249,854
Less unallocated deposit	
Silky Smoothies Limited	(£133,590)
Interest	(£2,708)
Add unprocessed payments	
Bank charges	£344
HMRC	£344,022
Balance per cashbook as at 30 June 20X3	£3,457,922

Email extract from the customer correspondence file

To: Pascal Lameer

Potato Traders

Date: 15 June 20X3

RE: Expired tomatoes

Pascal,

Firstly, accept my apologies for the batch of expired tomatoes you received. I spoke with the finance team this morning and they issued a credit note on the invoice for the 139,017 EUR.

Regards

Gary Jones-Smith

Marketing Manager Veg

APPENDIX 2 (Question 4) (continued)

Delivery Note

Deliver note number: 1918

Customer account: P1002 Date: 27-June-20X3

Product code	Product	UoM	Qty
PT122	Butternut	Kg	423
TM12	Tomatoes	Kg	240

Delivered to: Potato Traders (T/A Patate Compagnie)
05122017, Pac Boulevard
Paris

Received By *Jean Claude*

Date *28/06/20X3*

24 July 20X3

Chartered Accountants1

Advisors Square

Glasgow

Dear Messrs

RE: Confirmation of balances owing

I hereby confirm that we owe Veg **£585,332** in respect of the following invoices as at 30 June 20X3.

Invoice #	Amount
12993 -	**£113,088**
12969 -	**£127,919**
12951 -	**£121,344**
12944 -	**£109,283**
12927 -	**£113,708**

Yours faithfully on behalf of Glasgow Veggies Limited

Gary Marinelli

Gary Marinelli

Finance Manager

30 June 20X3 closing exchange rates

£/EURO: 1.15